

Education Loan Policy (Sample)

1. Purpose

This sample policy provides guidelines for granting education loans to students pursuing higher education in India or abroad.

2. Eligible Applicants

- Indian citizens aged 18 years or above.
- Students admitted to recognized colleges or universities.
- Parent/guardian may be required as co-borrower.
- Full-time undergraduate, postgraduate, or professional courses.

3. Eligibility Criteria

- Confirmed admission letter from an approved institution.
- Satisfactory academic record.
- Co-borrower with stable income (if applicable).
- Required KYC documents submitted.

4. Loan Coverage

- Tuition fees.
- Hostel and accommodation charges.
- Books, laptops, and study materials.
- Examination and laboratory fees.
- Travel expenses for overseas education (where applicable).

5. Loan Features

- Loan Amount: ₹50,000 – ₹50,00,000.
- Interest Rate: 8%–13% per annum (illustrative).
- Repayment Tenure: Up to 15 years.
- Moratorium: Course period + up to 12 months after completion.

6. Required Documents

- Admission letter.
- Fee structure issued by the institution.
- Aadhaar & PAN of student and co-borrower.
- Income proof of co-borrower.
- Recent passport-size photographs.

7. Approval Process

1. Submit online/offline application.
2. Verify academic admission and documents.
3. Assess repayment capacity of co-borrower.
4. Loan sanction and agreement signing.
5. Funds disbursed directly to the educational institution.

8. Reasons for Rejection

- Admission to an unrecognized institution.
- Incomplete or false documents.
- Poor financial profile of co-borrower.
- Failure to meet lender's internal credit policy.

Terms & Conditions

- EMI begins after the moratorium period.
- Late payments may attract penalties.
- Prepayment is allowed as per lender policy.
- The lender reserves the right to approve or reject any application.

Disclaimer

This is a fictional education loan policy created for educational purposes and AI chatbot/RAG testing only. It is not an official bank policy.